year *alone* could almost make you a millionaire! Say you start a job at age twenty-five making $50,000 per year and the company offers a 4% 401(k) match. Now, of course you're going to invest 15% of your income, because that's what smart people do. But just for the fun of it, let's only look at the 4% match amount and see what happens. A 4% match on a $50,000 salary means you're putting in $2,000 a year and the company is matching $2,000 a year, giving you $4,000 a year total going into your 401(k). If that's all you ever do, you'd retire at age sixty-five with almost $2 million—and *half* of that would be from the free money your company gave you! Don't be stupid. If your company wants to give you $1 million, take it.

You should still take advantage of the 401(k) even if your company doesn't offer a match—assuming you've already maxed out your Roth IRA like we discussed above. Even without matching funds, your company is providing a way for you to maximize your investing dollars through the 401(k) because of how taxes are treated. Eighty percent of 401(k) investors say the tax treatment alone—totally separate from any match—is a huge incentive for investing.[33] If you invest in a regular (non-Roth) 401(k), the money you put into it doesn't have any taxes taken out. So, if you put $100 into your 401(k) in one pay period, the *whole* $100 goes into the investment. If you bring the money home first, though, that $100 becomes more like $75 after taxes. By bringing it home, you've given yourself less to work with. Think of it this way: even if your employer doesn't offer a match, you're still getting the *effect* of a match by avoiding taxes on your contributions. You're being smart with your money by putting your education and experience to work for you. Now you're thinking like a millionaire.

While 15% should be your *starting point* for your investing, it's not all you should *ever* do. Remember, the reason we start with only 15% is because you still need some extra income to throw at your mortgage. Once you finally pay your house off, though, you can fire all your cannons at your 401(k). That's when you can really go for it, taking your contributions up to the maximum amount allowed. The federal limit changes every year, so you want to keep an eye on that. For 2018, for example, it's $18,500 per employee (not including employer matching). Once you're over age fifty, you can take advantage of 401(k) catch-up contributions, which allow you